

significant market fluctuations and potential drawdowns will benefit when the undervaluation they perceive becomes even more egregious, as long as they have the fortitude to hang on and ideally add to their holdings. (Somewhat counterintuitively, extreme undervaluation can serve as its own catalyst, attracting not only bargain hunters in the public markets but also opportunistic buyers of the whole business.) Just as market fluctuations can appear to refute accurate analysis, prices may temporarily seem to validate incorrect conclusions. Investors who gain confidence from rising market prices, for example, may make the mistake of gaining additional conviction in their investments at the very moment when they are, in fact, becoming less and less attractive.

Learning to love markdowns is critical for long-term investment success. Key is the ability to retain the perspective that markdowns represent the opportunity to buy an additional stake in a business at an even better price, and that a markdown is a loss only if you sell. From this vantage point, what seems on the surface like bad news is actually a positive development. Obviously, in the face of a downdraft, it is incumbent on investors to regularly check their analysis and reaffirm their conclusions, especially in the face of sudden and surprising price declines, to assess whether the price action may reflect important information—either of new developments or information that your own analysis may have missed or misunderstood.

Investors who lack confidence and staying power, or who are under onerous short-term performance pressures, are prone to bailing out when the prices of what they own move lower. Investors must be resolute in the face of withering criticism from clients and superiors and their own self-doubt during protracted periods of underperformance. (That's why for those managing other people's money, having patient, long-term-oriented clients is crucial.) At the other end of the spectrum, investors who are overly confident are prone to confirmation bias,